

Behind-the-Meter (BTM) Distributed Power Deep Dive

Day 4: Valuation Framework Supports Asymmetric Risk-Reward Profile for LBRT and PUMP as Embedded Power Expectations Are Low

JPM View: We evaluate a valuation framework and range for BTM distributed power generation based on market-implied multiples, supported by an NPV/IRR analysis of fully-loaded power generation equipment economics. We also reference precedent and private capital transactions as further validation of the BTM distributed power thesis from both strategic and financial sponsors. We believe this synthesized approach provides the best directional approach to valuation, given the vast differences in offerings, ordered/contracted capacity, contract tenor, supply chain integration, and financing approaches, as well as non-standardized disclosure of unit economics amongst BTM distributed players today.

Our valuation framework includes market-implied multiples and precedent/private transactions that triangulate to a shared conclusion: the market is ascribing limited value to the power businesses embedded in LBRT and PUMP. The market-implied work shows both names pricing their power segments at low-to-mid single-digit EV/EBITDA multiples, far below SEI's embedded ~10x and below the mid-single-digit power-generation-fleet precedents. Our unlevered NPV/IRR analysis underpins this conclusion from a returns angle, with the underlying equipment economics generating upper teens unlevered returns at PUMP and mid-teens at LBRT, confirming these are value-generative businesses with returns that comfortably justify a positive, non-negligible valuation.

Where LBRT and PUMP diverge is not whether the power business is undervalued, but what has to happen for the value to be realized. PROPWR carries a signed, diversified and deployed contract book spread across three end-markets, funded off a completions business and secured financing sources. LPI and its book, in contrast, is concentrated and remains largely unsigned, with its capital-recycling engine contingent on the first ESA. The same distinction that separates LBRT and PUMP on bankability separates them on valuation: PUMP is the more de-risked name today, while LBRT, in our view, carries the steeper trajectory once the first ESA is signed.

We believe the market can defensibly apply a ~10x EV/EBITDA multiple to LPI and PROPWR based on the embedded valuation of SEI and our analyses. After extending our models for LBRT and PUMP out to 2030 and valuing their respective power businesses on our forward 2030 EBITDA estimates, we establish a Dec-27 price targets of \$31 per share for LBRT and \$18 per share for PUMP after discounting our valuations back to year-end 2027 using conservative discount rate assumptions to account for contracting and execution risk. We made no changes to our outlook around each respective company's frac franchises and value them on a normalized basis. We maintain our OW rating on both stocks.

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Table Of Contents

What's Priced In? Market-Implied Multiples.....	4
NPV Analysis.....	7
Precedents & Private Capital	13
Liberty Energy Inc.....	15
ProPetro Holding.....	20

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price (\$)	Rating		Price Target			
				Cur	Prev	Cur	End Date	Prev	End Date
Liberty Energy Inc	LBRT US	3,118.58	19.11	OW	n/c	31.00	Dec-27	27.00	Dec-26
ProPetro Holding	PUMP US	1,284.74	10.46	OW	n/c	18.00	Dec-27	15.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 17 Sep 26.

What's Priced In? Market-Implied Multiples

Before we lay out what we think LBRT's and PUMP's power businesses are worth, we first ask what the market is paying for them today? We take each company's current enterprise value, subtract a normalized value for their respective frac franchises, and treat the residual as the market's implied valuation of the power segment. Dividing that residual by the company's own guided near-term guided 2027 run-rate yields an implied power EV/EBITDA, which gives us a clean read of how much of the value of the power business is embedded in today's share price for both stocks. The resulting multiple is struck against an early-ramp EBITDA base (1 GW for LBRT and 500 MW for PUMP), and should be read as the multiple the market is paying on near-term guided power earnings and not as a mature-state multiple.

EBITDA/MW Assumption

We first aggregate a reasonable EBITDA/MW assumption to be used in BTM distributed power given changing guidance and disclosure around unit economics. We believe \$300k/MW represents a reasonable, defensive, and conservative estimate to be utilized for evaluating the power businesses, grounded in LBRT (5-6 year payback period) and PUMP (4-6 year payback period) guidance as well as actual SEI EBITDA per actively deployed MW. metrics.

Figure 1: LBRT (LPI) Unit Economics Guide

		Payback Period (yrs)	
		5	6
Capital cost (\$mm) / MW	1.6	\$0.320	\$0.267
	1.9	\$0.380	\$0.317

Source: J.P. Morgan estimates, Company data.

Figure 2: PUMP (PROPWR) Unit Economics Guide

		Payback Period (yrs)	
		4	6
Capital cost (\$mm) / MW	1.4	\$0.350	\$0.233
	1.5	\$0.375	\$0.250

Source: J.P. Morgan estimates, Company data.

Figure 3: SEI EBITDA/MW Estimates

		Power Capacity (MW)	
		910 (1Q26A)	3200 (2029e)
EBITDA (\$mm)	334 (1Q26A)	\$0.367	
	1100 (2029e)		\$0.344

Note: 1Q26 power capacity and EBITDA reflects company-reported annualized run-rate.
Source: Company data.

LPI and PROPWR: Near-Free Power Upside?

LBRT and PUMP shares took beatings on the day of their post-2Q26 print (LBRT down -22% underperforming OSX by 2203 bps, PUMP down -4% underperforming OSX by 264bps). While shares have since recovered slightly on the back of a wider OSX rally and sell-off in BTM-exposed names, LBRT and PUMP shares still remain far below their prices earlier this year. We believe at these levels, the markets are barely pricing in any growth upside in LBRT until an ESA is signed or PUMP's proven operational capability. While the fundamental reasons to buy would slightly differ across both companies, both LBRT and PUMP look attractively valued at current implied multiples that fall below cyclical OFS multiples.

LBRT: At the current enterprise value of \$4.2bn, we value the frac franchise at \$3.2bn based on a normalized frac EBITDA and multiple (\$640mm at 5x). Measured against LBRT's 2027 run-rate of 1 GW of contracted capacity at \$300k/MW equates to \$300mm of annualized power EBITDA, leaving behind an implied residual LPI EV/EBITDA multiple of 3.3x. We acknowledge that this low implied multiple for LPI reflects the market's skepticism on LBRT's ability to reach 1 GW of contracted capacity over the intermediate term. If we assume a more conservative 4.5x multiple on their frac business and 500 MW of contracted capacity, the implied residual LBRT EV/EBITDA multiple would be 8.8x.

PUMP: At the current enterprise value of \$1.4bn, we value the frac franchise at \$957mm based on normalized frac EBITDA and multiple (\$239mm at 4x). Measured against PUMP's 2027 run-rate of 500 MW at \$300k/MW equates to \$150mm of annualized power EBITDA, leaving behind an implied residual PROPWR EV/EBITDA multiple of 2.7x. If we assume a more conservative 3.5x multiple on their frac business and 250 MW of contracted capacity, the implied residual PUMP EV/EBITDA multiple remains attractive at only 6.9x.

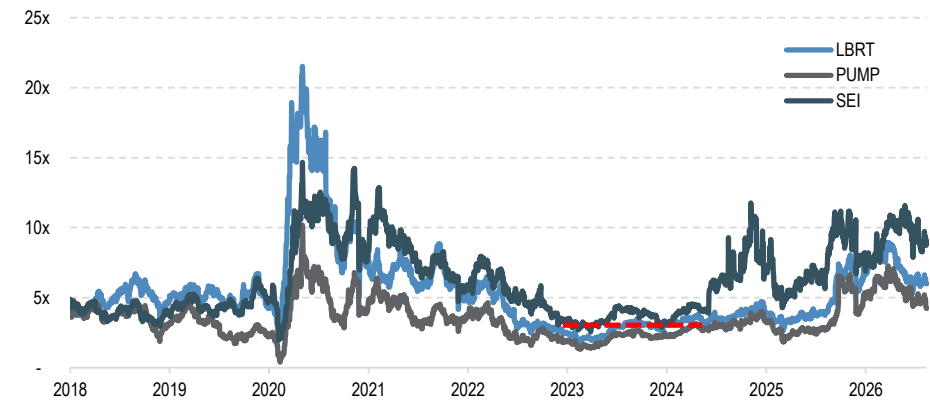
SEI as the Reference Point

We believe that the BTM power sector is anchored to SEI's multiple and offers the cleanest read of the market-implied multiple, given that SEI has been one of the first to successfully scale a BTM power platform. We use SEI's financial metrics as a market-observed reference, and take no view on SEI's valuation. SEI has re-rated structurally since its entry into the power businesses, after re-rating from its 3-4x trough in 2022-2023 to a range of ~6-12x, most frequently near ~10x. The re-rating track SEI's pivot into BTM power servicing data centers.

Key Takeaway

The gap between LBRT and PUMP's implied low-single-digit EV/EBITDA power multiples against SEI's embedded ~10x represents the market's ascribing limited power or integration credit to either of our covered names. The power business optionality remains a low cost call option, we think.

Figure 4: EV/EBITDA(FY2), 2018-Present



Note: Chart starts at first available datapoint of LBRT, which IPO-ed in 2018.
Source: Bloomberg Finance L.P. estimates.

Figure 5: EV/EBITDA(FY2), 2021-Present (5-yrs)



Source: Bloomberg Finance L.P. estimates.

Figure 6: EV/EBITDA(FY2), 2021-Present (5-yrs)



Source: Bloomberg Finance L.P. estimates.

NPV Analysis

BTM distributed power returns are frequently debated, with management teams guiding to high-teens unlevered returns and investors questioning whether the economics support that claim. Our illustrative unlevered NPV analysis finds that management's high-teens guidance is achievable on an all-in capital basis, but that the economics differ materially between operators, driven principally by all-in capital cost per MW.

- **LBRT**, with a disclosed all-in capital cost midpoint of \$1.75mm/MW (on a \$1.6-1.9mm/MW buildout), generates mid-to-high-teens IRR at \$300-350k EBITDA/MW. Its high-teens guidance is achievable, particularly at the higher-end of the EBITDA/lower-end of the capital cost range.
- **PUMP**, with a disclosed all-in capital cost midpoint of \$1.45mm/MW (on a \$1.4-1.5mm guidance), generates high-teens unlevered IRRs across its disclosed EBITDA range. The guidance is supported on an all-in basis.

The central differentiating point here is capital efficiency. At the same EBITDA/MW, PUMP's lower all-in build cost produces a structurally higher return. The capex gap is the single most important variable in cross-company BTM power returns.

Methodology

We run an illustrative 18-year (matching the real-world operability range of 15-20 years) unlevered NPV per MW for a gas reciprocating engine project, a common technology used in BTM distributed power. EBITDA/MW and Capital Costs/MW are anchored to implied rates from company guidance. Maintenance capex is modeled on an interval event-driven basis to mirror OEM schedules and price overhauls against operating hours, and per-event overhaul costs are expressed as a percentage of generation capital cost calibrated to published O&M benchmarks. Overhauls falling in the terminal year of the asset life are excluded on the basis that the capital would not be recovered over a remaining service interval. We have sensitized our EBITDA/MW and Capital Cost/MW assumptions for our IRR outputs.

High-Speed Recip Engine NPV Analysis

Assumptions

Overhaul schedule: We anchor to INNIO Jenbacher's published intervals of a top-end overhaul at 24,000 operating hours (~every 3 years) and a major overhaul at 72,000 operating hours (~every 9 years), consistent with the higher-utilization typical of contracted engine deployments for BTM prime power (vs. backup power). Minor overhauls are estimated at 6% of genset-only cost; major overhauls at 17.5% of genset-only cost.

Upfront capex: We assume a midpoint \$1.45mm/MW capital cost based on PUMP's disclosure of a \$1.4-1.5mm/MW all-in cost for PUMP; assume mid-point of \$1.75mm/MW capital cost based on LBRT's latest disclosure of \$1.6-1.9mm/MW all-in cost for equipment.

Maintenance capex: We sensitize the lower-end to \$1.0mm/MW based on implied genset-only cost (LBRT implied ~\$0.9-1.1mm/MW at 55-60% of all-in cost of \$1.6-1.9mm/MW costs, PUMP's earlier guidance of \$1.1mm/MW on its initial 550 MW that was more heavily skewed to genset-only vs. all-in) and other equipment-only costs.

EBITDA: We sensitize to a \$250-400k, a range set by payback guidance (Figures 1-3), held flat over the useful life of the asset.

Figure 7: LBRT IRR Analysis (Recips)

High-Speed Recips (LBRT)			
Year	EBITDA	CapEx	EBITDA - CapEx
0	0	1750	-1750
1	350		350
2	350		350
3	350	60	290
4	350		350
5	350		350
6	350	60	290
7	350		350
8	350		350
9	350	175	175
10	350		350
11	350		350
12	350	60	290
13	350		350
14	350		350
15	350	60	290
16	350		350
17	350		350
18	350		350
IRR			18%

Source: J. P. Morgan estimates, Company data..

Figure 8: LBRT IRR Sensitivity (Recips)

		IRR Capital Cost (\$mm)/MW			
		1.6	1.7	1.8	1.9
EBITDA (\$k)/MW	250	13%	11%	11%	10%
	300	16%	15%	14%	13%
	350	20%	18%	17%	16%
	400	23%	22%	20%	19%

Source: J.P. Morgan estimates, Company data.

Figure 9: PUMP IRR Analysis (Recips)

High-Speed Recips (PUMP)			
Year	EBITDA	CapEx	EBITDA - CapEx
0	0	1450	-1450
1	300		300
2	300		300
3	300	60	240
4	300		300
5	300		300
6	300	60	240
7	300		300
8	300		300
9	300	175	125
10	300		300
11	300		300
12	300	60	240
13	300		300
14	300		300
15	300	60	240
16	300		300
17	300		300
18	300		300
IRR			18%

Source: J.P. Morgan estimates, Company data.

Figure 10: PUMP IRR Sensitivity (Recips)

		IRR		
		Capital Cost (\$mm)/MW		
		1.40	1.45	1.50
EBITDA (\$k)/MW	250	15%	14%	14%
	300	19%	18%	18%
	350	23%	22%	21%
	400	27%	26%	25%

Source: J.P. Morgan estimates, Company data.

Light Industrial Gas Turbine NPV Analysis

Assumptions

Overhaul schedule: We anchor to BKR's published NovaLT16 service intervals of a minor inspection at 35,000 hours (~every 4 years) and a major overhaul at 70,000 hours (~every 9 years), consistent with the higher-utilization typical of contracted light IGT deployments for BTM prime power (vs. backup power). Minor overhauls are estimated at 6% of genset-only cost; major overhauls at 17.5% of genset-only cost.

Upfront capex: We assume a midpoint \$1.45mm/MW capital cost based on PUMP's disclosure of a \$1.4-1.5mm/MW all-in cost for PUMP; assume midpoint of \$1.75mm/MW capital cost based on LBRT's latest disclosure of \$1.6-1.9mm/MW all-in cost for capacity.

Maintenance capex: We assume a \$1.0mm/MW capital cost based on SEI's disclosed acquisition of 30 NovaLT16 units in March 2026, implying a genset-equipment cost of ~\$0.9-1.2mm/MW. Each NovaLT16 unit has a 17.5 MW capacity, and 30 units represent 525 MW. SEI's acquisition was structured through the purchase of order delivery slots from a distressed counterparty, and payment for delivery rights and obligations to BKR amount to \$0.9mm/MW, climbing to \$1.2mm/MW once contingency earn-outs are factored in.

EBITDA: We sensitize to a \$250-400k, a range set by payback guidance (Figures 1-3), held flat over the useful life of the asset.

Figure 11: LBRT IRR Analysis (Light IGT)

Light Industrial Gas Turbine (LBRT)			
Year	EBITDA	CapEx	EBITDA - CapEx
0	0	1750	-1750
1	350		350
2	350		350
3	350		350
4	350	40	310
5	350		350
6	350		350
7	350		350
8	350	40	310
9	350	125	225
10	350		350
11	350		350
12	350	40	310
13	350		350
14	350		350
15	350		350
16	350	40	310
17	350		350
18	350		350
IRR			18%

Source: J. P. Morgan estimates, Company data.

Figure 12: LBRT IRR Sensitivity (Light IGT)

		IRR			
		Capital Cost (\$mm)/MW			
		1.6	1.7	1.8	1.9
EBITDA (\$k)/MW	250	13%	12%	11%	10%
	300	17%	16%	15%	14%
	350	20%	19%	18%	17%
	400	24%	22%	21%	20%

Source: J.P. Morgan estimates, Company data.

Figure 13: PUMP IRR Analysis (Light IGT)

Light Industrial Gas Turbine (PUMP)			
Year	EBITDA	CapEx	EBITDA - CapEx
0	0	1450	-1450
1	300		300
2	300		300
3	300		300
4	300	40	260
5	300		300
6	300		300
7	300		300
8	300	40	260
9	300	125	175
10	300		300
11	300		300
12	300	40	260
13	300		300
14	300		300
15	300		300
16	300	40	260
17	300		300
18	300		300
IRR			19%

Source: J.P. Morgan estimates, Company data.

Figure 14: PUMP IRR Sensitivity (Light IGT)

		IRR		
		Capital Cost (\$mm)/MW		
		1.40	1.45	1.50
EBITDA (\$k)/MW	250	16%	15%	14%
	300	20%	19%	18%
	350	24%	23%	22%
	400	27%	26%	25%

Source: J.P. Morgan estimates, Company data.

Key Takeaways

- **Capital efficiency is the differentiator.** PUMP's ~\$1.45mm/MW all-in build cost versus LBRT's ~\$1.75mm produces a structurally higher return at any given EBITDA. This is the single most important cross-company variable, and whether capital cost estimates hold at scale is the central question in the returns debate.
- **PUMP has more margin for error; LBRT needs the favorable end.** PUMP clears high-teens across most of its disclosed range; LBRT requires EBITDA at or above \$350k/MW to do so. Investors should focus on each operator's realized all-in capex per MW and stabilized EBITDA/MW as the key return drivers.
- **Engine and turbine technologies appear to be economically near-identical.** Turbine's edge is derived from its lighter overhaul cadence.

By design, this illustrative returns analysis does not attempt to capture the factors that separate the technologies, and the operators deploying them, under real-world AI-collocation conditions. We would flag four variables/considerations as material but not yet reliably quantifiable (given the limited operating history of behind-the-meter (BTM) power at scale) worth monitoring as operational execution becomes a key focus point in determining which power platforms deserve a larger premium to the floor valuation level.

- **Availability/performance under volatile AI load:** The NPV analysis assumes EBITDA is earned in full each year, but AI workloads produce near-instantaneous demand swings that are a far harsher duty cycle than these machines were designed around. Because providers are generally not paid for power they fail to deliver, and because service-level agreements often guarantee under an hour of downtime per year, availability effectively becomes a haircut on the revenue line. A modular recip fleet with N+ redundancy degrades minimally if a single unit trips, whereas a turbine concentrates far more capacity in one machine, so a single failure is a larger and more disruptive loss of output.
- **Catastrophic failure and replacement risk:** Scheduled overhauls are captured in our NPV analysis, but unscheduled capex is not. AI workloads can cause unexpected O&M needs, with some [reports](#) of cracked turbines and broken engine cranks. This risk is asymmetric, since a single large rotating asset failing in a turbine is a concentrated loss, while a recip fleet spreads it across many small units. If real-world degradation outpaces modeled overhaul intervals, this is the single largest unquantified threat to the return profile embedded in our floor.
- **BESS burn:** Battery energy storage systems are the balance-of-plant shock-absorber that makes handling of transient workloads viable, buffering the instantaneous swings that would otherwise damage the prime movers. Batteries can burn through their useful life rapidly, making BESS a recurring replacement drag rather than the one-time capital item a clean overhaul schedule implies. If the prime mover follows the transient workload better (ie. high-inertia recip fleet), it enables the battery to last longer and potentially reduce all-in costs.
- **Redundancy cost:** The genset-only capital figure is not the cost of grid-equivalent reliability, which requires redundancy across generation, storage, and gas supply. The non-power generation equipment costs can make up, by LBRT's estimates, 40-45% of the fully redundant all-in costs. Redundancy can be expensive and also difficult to engineer, favoring deep-pocketed, integrated operators over marginal entrants.

Precedents & Private Capital

We provide a snapshot of precedent transactions and private capital investments in the BTM distributed power thesis as a set of additional, but not necessarily encompassing, datapoints. Generally speaking, M&A that gains exposure to high-growth sectors like AI and modular power solutions command premium multiples compared to stand-alone power generation platforms. Meanwhile, premier financial sponsors are starting to increasingly invest in BTM buildouts through innovative financing structures, further validating the BTM distributed power thesis. Overall, these trends point to both operational and financial interest in building and owning a well-integrated, deployable, reliable, behind-the-meter, onsite GW today.

Precedents: Controls-and-Integration Commands Premium

Figure 11 arrays recent M&A across the BTM distributed power value chain, and the pattern in the multiples paid reinforces the thesis on where durable value accrues. Three tiers emerge, and they track the supply-chain stack rather than headline deal size.

At the top, BTM distributed energy management commands the richest multiples in the low-teens, which includes nVent's \$1.8bn acquisition of Maverick Power (11.5x) and Vertiv's ~\$1.5bn acquisition of Utility Innovation Group (~13x). Notably, neither target is a power generation fleet owner, but rather sellers of the cross-layer content such as integrated modular power distribution, switchgear, microgrid controls, onsite generation orchestration, and BTM-specific balance-of-plant. That the market pays higher EBITDA multiples for the controls-and-integration layer vs. single-digits for the power generation equipment itself is the clearest external corroboration of the Day 3 argument that systems integration is where the competitive moat sits.

In the middle, nat-gas power facilities (merchant) clear at a tight 7.0x median across a strikingly consistent and deep set of transactions. The consistency of the multiple range across the five deals and the wide range of transaction values signals a well-established market clearing price for owning dispatchable gas generation at grid scale, providing a useful floor reference where the asset (not necessarily integration) is bought.

At the base, power generation fleets transact at the lowest multiples in the low-to-mid single digits. AESI's \$220mm / 212 MW acquisition of Moser Energy Systems (4.3x) brought in-house engine manufacturing and remanufacturing capabilities, and SEI's \$200mm / 478 MW acquisition of Mobile Energy Rentals (4.0x) formed the base of the company's turbine-centric fleet with ancillary power equipment. KGS's \$675mm / 384 MW Distributed Power Solutions deal sits modestly higher at 7.4x, a premium we would attribute to the CAT equipment and the distributed (rather than rental) orientation of the fleet, transacted more recently as the premium for speed-to-market becomes better understood.

Private Capital: Premier Sponsors Validating the Thesis

Precedent M&A validates the thesis from strategic companies, but even within the confines of our covered and adjacently reviewed companies, VoltaGrid and WMB provide leading examples of the financial sponsor capital that is behind the BTM distributed power thesis.

In May 2026, VoltaGrid secured a \$1bn equity investment from Blackstone Tactical Opportunities and Halliburton (HAL), representing a combination of both sponsor and strategic from premier institutional names. In conjunction with the investment, VoltaGrid also announced its acquisition of Propell Energy Technology, bringing their manufacturing partner in-house and strengthening the supply chain.

Following a similar theme, in July 2026, WMB [announced](#) a \$5.3bn investment into a JV to fund its five announced BTM Power Innovation projects, with the commitment led by funds managed by Blackstone Credit & Insurance, in partnership with Apollo and insurance vehicles/accounts managed by KKR. This again paired premier alternative assets managers behind the BTM thesis. In exchange for the committed capital, Blackstone and its partners received a 49% noncontrolling equity interest while WMB retained a 51% interest to maintain commercial and operational control. The structure was notable for how it preserved upside for WMB, raising capital at a 6.35% debt financing with equity treatment while retaining decision-making authority, while the promote lifts project-level returns above the already-attractive ~5x build multiple target.

Figure 15: Select Precedent Transactions

Date Announced	Date Closed	Target Company	Acquirer	Deal Categorization	Transaction Value	EV/EBITDA Multiple	Power Capacity	Generation Equipment	Other
Aug-26	Pending	Maverick Power	nVent (NVT)	BTM Distributed Energy Management	\$1.8bn	11.5x	n/a	n/a	Power distribution (low- and medium-voltage switchgears, integrated modular solutions)
Sep-26	Pending	UtilityInnovation Group	Vertiv (VRT)	BTM Distributed Energy Management	\$1.5bn	~13x	n/a	n/a	Microgrid controls, onsite generation orchestration, microgrid-specific BOP, BTM power architecture
Feb-26	Apr-26	Distributed Power Solutions	Kodiak Gas Services (KGS)	Power Generation Fleet	\$675mm	7.4x	384 MW	CAT engines and turbines	--
Jan-26	Jun-26	3 nat-gas power facilities (Energy Capital Partners)	Talen Energy (TLN)	Nat-Gas Power Facility	\$3.5bn	6.6x	2.6 GW	n/a	--
Jan-26	Pending	10 nat-gas power facilities (Cogentrix Energy)	Vistra Corp (VST)	Nat-Gas Power Facility	\$4.0bn	7.3x	5.5 GW	n/a	--
May-25	Oct-25	7 nat-gas power facilities (Lotus Infrastructure Partners)	Vistra Corp (VST)	Nat-Gas Power Facility	\$1.9bn	7.0x	2.6 GW	n/a	--
May-25	Jan-26	18 nat-gas power facilities (LS Power)	NRG Energy (NRG)	Nat-Gas Power Facility	\$12.0bn	7.5x	12.9 GW	n/a	C&I Virtual Power Plant (VPP) Platform
Apr-25	Jun-25	2 nat-gas power facilities (LS Power)	Capital Power (TSX:CPX)	Nat-Gas Power Facility	\$2.2bn	7.0x	2.1 GW	n/a	--
Jan-25	Feb-25	Moser Energy Systems	Atlas Energy Solutions (AESI)	Power Generation Fleet	\$220mm	4.3x	212 MW	Engines	In-house manufacturing and remanufacturing capabilities
Jul-24	Sep-24	Mobile Energy Rentals	Solaris Energy Infrastructure (SEI)	Power Generation Fleet	\$200mm	4.0x	478 MW	Turbines	Ancillary power equipment
BTM Distributed Energy Management Median						12.3x			
Nat-Gas Powered Facility Median						7.0x			
Power Generation Fleet Median						4.3x			

Source: J.P. Morgan, Company reports, Bloomberg Finance L.P.

Overweight

LBRT, LBRT US

Price (17 Sep 26):\$19.11

▲ **Price Target (Dec-27):\$31.00**

Prior (Dec-26):\$27.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (\$)	0.13	(0.09)	-171.8%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.04	0.06A	(0.09)
Q2	0.12	0.09A	0.01
Q3	(0.06)	0.13	0.02
Q4	0.05	(0.01)	(0.03)
FY	0.15	0.27	(0.09)

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	44	81	23	16	74
Growth	89	75	40	28	67
Momentum	8	29	94	61	83
Quality	29	23	15	18	60
Low Vol	81	80	69	57	74
ESGQ	98	-	-	96	90

Liberty Energy Inc

Maintain OW Rating and Set 2027 PT to \$31

Valuation: We are establishing a Dec-27 PT of \$31 per share. We are modeling 3 GW of power deployed by YE29 at \$300k/MW of EBITDA, which supports our 2030 EBITDA estimate of \$780mm. Based on a 10x multiple, we arrive at a 2030 fully-deployed power EV of ~\$7.8bn, which we discount at a 20% rate for deployment risk to a risk-adjusted 2027 power NPV of \$2.0n after backing out estimated net debt of \$4.4bn for the enterprise that includes our estimate of project financing (we assume this project financing debt will be guaranteed by LBRT). Added to the frac franchise (~5x on \$640mm of normalized EBITDA = \$3.2bn), this yields \$5.2bn of equity value or ~\$31/share based on a share count of 168mm shares.

Why the upside is skewed: We view the first signed ESA as a catalyst rather than merely a gate, because it does two things at once. First, it unlocks the SPV / non-recourse project-finance recycling that converts corporate capital-at-risk into a self-funding engine, removing the funding-cycle overhang that keeps LPI's model contingent today. Second, it validates the LPI platform commercially, raising the likelihood that the remaining data-center pipeline converts as comfort with LPI as the power solution propagates across land developers, builders, and hyperscalers. Because both the funding constraint and the contract-conversion probability inflect off the same event, the deployment-risk haircut we apply today compresses precisely when the first ESA lands, which is why LBRT carries the steeper trajectory and the greater upside to our PT than a name already funding itself. LPI's molecule-to-megawatt integration, LAET in-house packaging, and the Tempo control layer are the capabilities we believe make that conversion credible once the first signature is in hand.

Price Performance



	YTD	1m	3m	12m
Abs	3.5%	-14.1%	-29.7%	75.6%
Rel	-12.3%	-8.1%	-28.2%	56.2%

Company Data

Shares O/S (mn)	163
52-week range (\$)	34.48-10.69
Market cap (\$ mn)	3,118.58
Exchange rate	1.00
Free float (%)	97.6%
3M ADV (mn)	4.33
3M ADV (\$ mn)	93.2
Volatility (90 Day)	69
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	8 5 0

Key Metrics (FYE Dec)

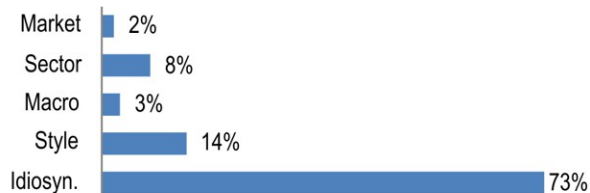
\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	4,006	4,590	4,849	5,313
Adj. EBITDA	634	575	614	822
Adj. EBIT	134	96	70	217
Adj. net income	25	46	(15)	95
Adj. EPS	0.15	0.27	(0.09)	0.57
BBG EPS	0.20	0.30	0.17	0.67
Cashflow from operations	610	487	644	822
FCFF	45	(985)	(768)	(535)
Margins and Growth				
Revenue Growth Y/Y (%)	(7.2%)	14.6%	5.6%	9.6%
EBITDA margin	15.8%	12.5%	12.7%	15.5%
EBITDA Growth Y/Y (%)	(31.2%)	(9.3%)	6.8%	33.9%
EBIT margin	3.3%	2.1%	1.4%	4.1%
Net margin	0.6%	1.0%	(0.3%)	1.8%
Adj. EPS growth	(91.6%)	80.2%	(133.5%)	(717.2%)
Ratios				
Adj. tax rate	24.6%	23.4%	(25.0%)	25.0%
Interest cover	15.7	18.9	6.8	9.1
Net debt/Equity	0.1	0.4	0.5	0.5
Net debt/EBITDA	0.3	1.4	1.6	1.1
ROCE	4.5%	2.6%	2.7%	5.1%
ROE	1.2%	2.3%	(0.8%)	5.0%
Valuation				
FCFF yield	1.4%	(30.8%)	(24.0%)	(16.7%)
Dividend yield	-	-	-	-
EV/Revenue	0.8	0.9	0.8	0.7
EV/EBITDA	5.3	6.8	6.7	4.8
Adj. P/E	125.9	69.9	NM	33.8

Summary Investment Thesis and Valuation

Investment Thesis

- **Overweight** rating
- LBRT is a leading pressure pumper with leading market share in the Rockies as well as solid exposure to the Permian and Eagle Ford, and now a presence in all major NAM shale basins.
- The company's differentiated focus on technology, data analytics, and talent has allowed it to deliver peer-leading profitability and return metrics through the cycle.
- We expect the company's investment in distributed power to drive significant growth potential, which the market is capitalizing on at higher multiples than frac.
- Our Dec-27 PT is \$31 per share.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	-0.05	0.09
Sect: Energy	0.23	0.32
Ind: Energy	0.23	0.32
Macro:		
Economic Surprise	0.13	0.22
Crude Oil	0.15	0.15
US 10yr Breakeven	0.24	0.14
Quant Styles:		
Growth	-0.15	-0.24
DivYld	-0.23	-0.18
Size	0.30	0.15

Investment Thesis, Valuation and Risks

Liberty Energy Inc (*Overweight; Price Target: \$31.00*)

Investment Thesis

We rate LBRT shares OW given the significant growth potential of their distributed power generation segment. LBRT is planning to increase its power generation deployed to 1 GW by YE27 and 3 GW by YE29. LBRT is working on a variety of large-scale data center projects to support longer-term growth. We see potential upside from current valuation levels if the company is able to secure commitments for incremental orders, particularly on the first signed ESA that unlocks project financing and capital recycling onto the corporate balance sheet. The company's differentiated focus on technology, data analytics, and talent has allowed it to deliver peer-leading profitability and return metrics through the cycle for its frac business that we believe can be applied to the power business. Liberty maintains a healthy balance sheet, with solid FCF metrics.

Valuation

We have a Dec-27 PT of \$31 per share. We are modeling 3 GW of power deployed by YE30 at \$300k/MW of EBITDA, which supports our 2030 EBITDA estimate of \$780mm. Based on a 10x multiple, we arrive at a 2030 fully-deployed power EV of ~\$7.8bn, which we discount at a 20% rate for deployment risk to a risk-adjusted 2027 power NPV of \$2.0bn after backing out estimated net debt of \$4.4bn for the enterprise that includes our estimate of project financing (we assume this project financing debt will be guaranteed by LBRT). Added to the frac franchise (~5x on \$640mm EBITDA = \$3.2bn), this yields \$5.2bn of equity value or ~\$31/share based on a share count of 168mm shares.

Risks to Rating and Price Target

Upside and downside leverage to commodity prices and upstream capital spending
Pressure pumping is dependent on upstream oil and gas capital spending directed to new well completions. This spending is directly tied to E&P cash flows, which are strongly correlated to oil and gas prices. Swings in commodity prices quickly impact E&P cash flows and thus new well investment, meaning an uplift in crude prices could increase demand for pressure pumping above our current expectations, while a decline in commodity prices could lead to additional downside to frac utilization and pricing.

Liberty's geographic reach and customer base are relatively concentrated
LBRT operates exclusively in NAM land today, and we expect this to remain the case for the foreseeable future. The NAM frac market is characterized by significant volatility in E&P spending and activity. NAM downturns could weigh more heavily on the company relative to globally diversified peers, and conversely Liberty may experience outsize benefits from improvements in NAM completions demand. Furthermore, Liberty's customer base is concentrated, and the sudden loss of a major customer could materially impact results

NAM frac pricing pressure

The combination of significant improvements in shale completion efficiency and a slower-than-anticipated macro recovery picture are leading to weakness in the frac market, with pricing pressures now experienced at the premium end of the market. This could lead to negative estimate revisions.

Liberty Power Innovations (LPI) presents new business line and execution risk

The buildout of the power generation business remains in its early stages, and LPI has limited operating history. Customer demand may fall short of expectations, resulting in underutilized assets, delayed deployments, and lower-than-expected forecasted returns. LPI requires intensive capital commitments for equipment procurement, and supply chain constraints for power equipment may disrupt deployments or increase costs. LPI also faces regulatory risks at both the state and regional-levels that may negatively impact ability to fully utilize assets.

Liberty Energy Inc: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	4,315	4,006	4,590	4,849	5,313	Revenue	1,021A	1,189A	1,215	1,165	
SG&A	(200)	(204)	(239)	(315)	(345)	SG&A	(52)A	(57)A	(61)	(70)	
Adj. EBITDAX	922	634	575	614	822	Adj. EBITDAX	126A	151A	158	140	
Exploration expense	-	-	-	-	-	Exploration expense	-	-	-	-	
Adj. EBITDA	922	634	575	614	822	Adj. EBITDA	126A	151A	158	140	
D&A	(505)	(500)	(479)	(544)	(605)	D&A	(114)A	(114)A	(119)	(132)	
Adj. EBIT	417	134	96	70	217	Adj. EBIT	12A	37A	39	8	
Net Interest	(32)	(40)	(30)	(90)	(90)	Net Interest	(8)A	(3)A	(10)	(10)	
Adj. PBT	382	33	60	(20)	126	PBT	15A	17A	30	(1)	
Tax	(78)	(8)	(14)	5	(32)	Tax	(4)A	(3)A	(7)	0	
Minority Interest	0	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	305	25	46	(15)	95	Adj. Net Income	10A	14A	22	(1)	
Reported EPS	1.87	0.89	0.52	(0.09)	0.57	Reported EPS	0.14A	0.26A	0.13	(0.01)	
Adj. EPS	1.80	0.15	0.27	(0.09)	0.57	Adj. EPS	0.06A	0.09A	0.13	(0.01)	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	169	165	167	168	168	Shares outstanding	166A	168A	168	168	
Balance Sheet & Cash Flow						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	20	28	480	319	426	ROE	16.0%	1.2%	2.3%	(0.8%)	5.0%
Accounts receivable	540	605	781	776	816	ROA	9.6%	0.7%	1.0%	(0.3%)	1.4%
Inventories	203	188	195	187	187	ROCE	16.0%	4.5%	2.6%	2.7%	5.1%
Other current assets	85	57	69	71	78	Net debt/equity	0.1	0.1	0.4	0.5	0.5
Current assets	849	878	1,525	1,353	1,507	Net debt/capital	0.1	0.1	0.3	0.3	0.3
PP&E	1,891	2,054	3,127	4,108	4,927	Interest cover (x)	28.6	15.7	18.9	6.8	9.1
LT investments	-	-	-	-	-	P/E (x)	10.6	125.9	69.9	NM	33.8
Other non current assets	557	626	658	658	658	EV/EBITDA (x)	3.6	5.3	6.8	6.7	4.8
Total assets	3,296	3,558	5,310	6,119	7,093	EV/BOE (x)	-	-	-	-	-
Short term borrowings	0	5	12	12	12	EV/EBITDAX (x)	3.6	5.3	6.8	6.7	4.8
Payables	571	599	719	749	814	Dividend yield	-	-	-	-	-
Other short term liabilities	95	117	149	185	248	Tax rate	20.3%	24.6%	23.4%	(25.0%)	25.0%
Current liabilities	667	720	880	946	1,073	Sector data	FY24A	FY25A	FY26E	FY27E	FY28E
Long-term debt	191	242	1,280	1,280	1,280	Natural gas price - \$/mcf	-	-	-	-	-
Other long term liabilities	461	518	1,196	2,014	2,826	Crude oil (WTI) -\$/bbl	-	-	-	-	-
Total liabilities	1,318	1,479	3,356	4,240	5,180	Daily oil production (mbblpd)	-	-	-	-	-
Shareholders' equity	1,979	2,079	1,955	1,879	1,913	NGLs Production (MMbbl)	-	-	-	-	-
Minority interests	-	-	-	-	-	Daily gas production (mmcfpd)	-	-	-	-	-
Total liabilities & equity	3,296	3,558	5,310	6,119	7,093	Daily production (mboed)	-	-	-	-	-
BVPS	11.69	12.58	11.68	11.21	11.41	Total Production (mmboe)	-	-	-	-	-
y/y Growth	11.8%	7.6%	(7.1%)	(4.1%)	1.8%	Proved reserves (mmboe)	-	-	-	-	-
Net debt/(cash)	171	219	812	973	866	Unit costs per boe					
Cash flow from operating activities	829	610	487	644	822	Lease operating expense	-	-	-	-	-
o/w Depreciation & amortization	505	500	479	544	605	Taxes other than income	-	-	-	-	-
o/w Changes in working capital	(9)	2	(63)	77	80	DD&A	-	-	-	-	-
Cash flow from investing activities	(643)	(435)	(755)	(745)	(655)	G&A	-	-	-	-	-
o/w Capital expenditure	(651)	(595)	(1,495)	(1,525)	(1,425)	Exploration expense	-	-	-	-	-
as % of sales	15.1%	14.9%	32.6%	31.4%	26.8%	Operating margin/boe	-	-	-	-	-
Cash flow from financing activities	(203)	(168)	722	(60)	(60)	Cash margin/boe	-	-	-	-	-
o/w Dividends paid	(48)	(54)	(60)	(60)	(60)	EBITDAX margin	21.4%	15.8%	12.5%	12.7%	15.5%
o/w Net debt issued/(repaid)	51	56	995	0	0	CFFO ex WC	-	-	-	-	-
Net change in cash	(17)	8	453	(161)	107	CFFO ex WC/share	-	-	-	-	-
Adj. Free cash flow to firm	204	45	(985)	(768)	(535)						
y/y Growth	(52.8%)	(78.2%)(2312.4%)	(22.0%)	(30.4%)							

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Overweight

PUMP, PUMP US

Price (17 Sep 26):\$10.46

▲ **Price Target (Dec-27):\$18.00**

Prior (Dec-26):\$15.00

Oil & Gas Exploration & Production

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J.P. Morgan Securities LLC

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	0.22	(0.01)A	0.10
Q2	0.02	(0.06)A	0.11
Q3	(0.08)	0.06	0.13
Q4	0.03	0.11	0.10
FY	0.20	0.10	0.44

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	52	59	14	18	37
Growth	83	55	44	68	72
Momentum	18	7	99	71	79
Quality	46	12	71	35	56
Low Vol	86	89	82	74	79
ESGQ	97	88	84	91	80

ProPetro Holding

Maintain OW Rating and Set 2027 PT of \$18

Valuation: We are establishing a Dec-27 PT of \$18 per share. We are modeling 1.2 GW of power deployed by YE30 at \$300k/MW of EBITDA, which supports our 2030 PROPWR EBITDA estimate of \$363mm. This would imply a valuation of \$3.63bn for PROPWR or \$1.88bn after backing out our net debt estimate of \$1.76bn for the enterprise (both frac and PROPWR). If we discount this value at 15% per year for deployment risk, we arrive at a year-end 2027 power NPV of \$1.2bn. Added to the frac franchise (~4x on ~\$239mm EBITDA = \$mm), this yields \$2.19bn of equity value or \$18/share given the 123mm share count.

Steadier, de-risked power play: PROPWR is the steadier, more organic name, and for it the binding question is the cost of capital rather than the availability of it, anchored by the CAT Strategic Framework Agreement (2.1 GW, option to 2.6 GW) and the PWR~NODE offering. The de-risking is why less of PROPWR's value hinges on a single catalyst, but it also means the path is one of steady progress from a base that already funds itself, rather than the step-change in funding and contract-conversion probability that a first ESA would unlock for LBRT.

Price Performance



	YTD	1m	3m	12m
Abs	10.0%	-18.2%	-29.6%	119.3%
Rel	-5.8%	-12.2%	-28.1%	99.9%

Company Data

Shares O/S (mn)	123
52-week range (\$)	18.50-4.64
Market cap (\$ mn)	1,284.74
Exchange rate	1.00
Free float (%)	98.3%
3M ADV (mn)	3.90
3M ADV (\$ mn)	47.7
Volatility (90 Day)	62
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	9 4 0

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,269	1,237	1,442	1,565
Adj. EBITDA	208	199	316	382
Adj. EBIT	34	30	92	101
Adj. net income	21	12	54	49
Adj. EPS	0.20	0.10	0.44	0.40
BBG EPS	(0.06)	(0.04)	0.38	0.71
Cashflow from operations	232	182	295	349
FCFF	52	(262)	(302)	(274)
Margins and Growth				
Revenue Growth Y/Y (%)	(12.1%)	(2.5%)	16.6%	8.5%
EBITDA margin	16.4%	16.1%	21.9%	24.4%
EBITDA Growth Y/Y (%)	(26.4%)	(4.6%)	59.0%	20.7%
EBIT margin	2.6%	2.4%	6.4%	6.5%
Net margin	1.6%	0.9%	3.8%	3.2%
Adj. EPS growth	(58.4%)	(50.8%)	360.4%	(9.3%)
Ratios				
Adj. tax rate	18.9%	31.6%	20.0%	20.0%
Interest cover	25.3	15.9	13.0	9.7
Net debt/Equity	0.0	0.3	0.6	1.0
Net debt/EBITDA	0.1	1.4	2.1	2.8
ROCE	3.0%	1.5%	3.5%	2.9%
ROE	2.5%	1.3%	5.4%	4.7%
Valuation				
FCFF yield	4.7%	(20.7%)	(23.5%)	(21.4%)
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	1.0	1.3	1.4	1.5
EV/EBITDA	6.2	7.8	6.2	6.1
Adj. P/E	53.4	108.5	23.6	26.0

Summary Investment Thesis and Valuation

Investment Thesis

- **Overweight** rating.
- Our Dec-2027 price target of \$18 per share is based on a hybrid approach to valuation of the company's frac and power segments. We assume a 4x normalized multiple for frac EBITDA and a 10x multiple for PROPWR EBITDA. We back out the company's forecasted net debt assuming lease financing debt on the balance sheet.
- ProPetro is a highly efficient frac provider, as demonstrated by its long-term contract with XOM. It has an advantageous concentrated Permian exposure and a healthy balance sheet, though operates at a more limited scale than its NAM peers.
- The company's concentrated & dedicated fleet in the Permian partially insulates it from lower activity environments, however may lead to slower rate of change in a growing activity environment relative to peers.
- We believe the pace of future pricing gains for the company may lag peers' given more limited scale.

Performance Drivers

Market	0%
Sector	8%
Macro	5%
Style	19%
Idiosyn.	68%

Factors	6M Corr	1Y Corr
Market: MSCI US	-0.28	-0.04
Sect: Energy	0.40	0.32
Ind: Energy	0.40	0.32
Macro:		
Economic Surprise	0.11	0.22
US 10yr yield	0.08	0.21
US 10yr Breakeven	0.19	0.19
Quant Styles:		
Momentum	0.43	0.31
DivYld	-0.31	-0.31
LowVol	-0.15	-0.22

Investment Thesis, Valuation and Risks

ProPetro Holding *(Overweight; Price Target: \$18.00)*

Investment Thesis

We rate the shares of ProPetro Overweight with a Dec 2027 price target of \$18. We view ProPetro as a highly efficient frac provider with an advantageous concentrated Permian exposure and a healthy balance sheet with a discounted valuation vs. its peers, but believe the pace of pricing gains may lag those of peers given more limited scale. Our positive view on the stock is based on earnings growth potential from PROPWR.

Valuation

We have a Dec-27 PT of \$18 per share. We model 1.2 GW of power deployed by YE30 at \$300k/MW of EBITDA, which supports our 2030 PROPWR EBITDA estimate of \$363mm. This would imply a valuation of \$3.63bn for PROPWR or \$1.88bn after backing out our net debt estimate of \$1.76bn for the enterprise (both frac and PROPWR). If we discount this value at 15% per year for deployment risk, we arrive at a year-end 2027 power NPV of \$1.23bn. Added to the frac franchise (~4x on ~\$239mm normalized EBITDA = \$957mm), this yields \$2,190mm of equity value or \$18/share given the 123mm share count. We acknowledge potential upside from this price target if the company is to remain on-track with its illustrative power deployment schedule.

Risks to Rating and Price Target

Leverage to commodity prices and upstream capital spending

Pressure pumping is dependent upon upstream oil and gas capital spending directed to new well completions. This spending is directly tied to E&P cash flows, which are strongly correlated to oil and gas prices. Swings in commodity prices quickly impact E&P cash flows and thus new well investment, which would influence pressure pumping activity and pricing. A further increase/decrease in commodity prices and upstream capex could result in ProPetro generating earnings above or below our estimates.

Capital deployment offers upside potential

ProPetro recently deployed capital for new electric fleets, which will likely prove accretive to EBITDA as they begin on dedicated agreements. However, returns on newbuild investment may prove disappointing, as was the case for the industry during a large portion of the prior cycle. That said, it has adopted a leasing strategy for its eForce fleets, which has resulted in lower capex investment relative to peers.

PROPWR presents new business line risk

The buildout of the power generation business remains in its early stages. Customer demand may fall short of expectations, resulting in underutilized assets, delayed deployments, and lower-than-expected forecasted returns. PROPWR requires intensive capital commitments for equipment procurement, and supply chain constraints of power equipment may disrupt deployments or increase costs.

Valuation discount to peers

Shares of PUMP have recently traded at a discount to peers on a EV/EBITDA basis. There is a possibility that the market will realign PUMP's multiple with these peers, presenting risk to our Overweight thesis.

ProPetro Holding: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	1,444	1,269	1,237	1,442	1,565	Revenue	271A	306A	321	340	
SG&A	(96)	(93)	(126)	(144)	(156)	SG&A	(27)A	(33)A	(32)	(34)	
Adj. EBITDAX	283	208	199	316	382	Adj. EBITDAX	36A	45A	53	65	
Exploration expense	-	-	-	-	-	Exploration expense	-	-	-	-	
Adj. EBITDA	283	208	199	316	382	Adj. EBITDA	36A	45A	53	65	
D&A	(212)	(175)	(169)	(224)	(281)	D&A	(41)A	(43)A	(41)	(44)	
Adj. EBIT	72	34	30	92	101	Adj. EBIT	(4)A	1A	12	20	
Net Interest	(8)	(8)	(12)	(24)	(39)	Net Interest	(3)A	(3)A	(3)	(4)	
Adj. PBT	64	25	17	68	62	PBT	(7)A	(2)A	9	17	
Tax	(14)	(5)	(5)	(14)	(12)	Tax	6A	(6)A	(2)	(3)	
Minority Interest	0	0	0	0	0	Minority Interest	0A	0A	0	0	
Adj. Net Income	50	21	12	54	49	Adj. Net Income	(1)A	(8)A	7	13	
Reported EPS	(1.31)	0.01	0.07	0.44	0.40	Reported EPS	(0.03)A	(0.07)A	0.06	0.11	
Adj. EPS	0.47	0.20	0.10	0.44	0.40	Adj. EPS	(0.01)A	(0.06)A	0.06	0.11	
DPS	0.00	0.00	0.00	0.00	0.00	DPS	0.00A	0.00A	0.00	0.00	
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%	Payout ratio	0.0%A	0.0%A	0.0%	0.0%	
Shares outstanding	106	105	121	123	123	Shares outstanding	117A	123A	123	123	
Balance Sheet & Cash Flow						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	50	91	555	745	952	ROE	5.5%	2.5%	1.3%	5.4%	4.7%
Accounts receivable	196	201	245	250	261	ROA	3.7%	1.6%	0.7%	2.2%	1.6%
Inventories	16	13	25	25	26	ROCE	5.9%	3.0%	1.5%	3.5%	2.9%
Other current assets	30	21	15	15	15	Net debt/equity	NM	0.0	0.3	0.6	1.0
Current assets	292	327	841	1,036	1,254	Net debt/capital	NM	0.0	0.2	0.3	0.4
PP&E	688	793	1,194	1,665	2,124	Interest cover (x)	36.2	25.3	15.9	13.0	9.7
LT investments	-	-	-	-	-	P/E (x)	22.2	53.4	108.5	23.6	26.0
Other non current assets	243	171	129	129	129	EV/EBITDA (x)	4.5	6.2	7.8	6.2	6.1
Total assets	1,224	1,291	2,164	2,830	3,507	EV/BOE (x)	-	-	-	-	-
Short term borrowings	0	0	0	0	0	EV/EBITDAX (x)	4.5	6.2	7.8	6.2	6.1
Payables	93	115	140	155	179	Dividend yield	0.0%	0.0%	0.0%	0.0%	0.0%
Other short term liabilities	129	138	137	137	137	Tax rate	22.0%	18.9%	31.6%	20.0%	20.0%
Current liabilities	222	253	277	292	315	Sector data	FY24A	FY25A	FY26E	FY27E	FY28E
Long-term debt	45	106	826	1,416	2,014	Natural gas price - \$/mcf	-	-	-	-	-
Other long term liabilities	140	102	82	89	95	Crude oil (WTI) -\$/bbl	-	-	-	-	-
Total liabilities	407	461	1,186	1,797	2,425	Daily oil production (mmbldpd)	-	-	-	-	-
Shareholders' equity	816	830	978	1,032	1,082	NGLs Production (MMbbl)	-	-	-	-	-
Minority interests	-	-	-	-	-	Daily gas production (mmcfpd)	-	-	-	-	-
Total liabilities & equity	1,224	1,291	2,164	2,830	3,507	Daily production (mboed)	-	-	-	-	-
BVPS	7.73	7.99	8.06	8.41	8.82	Total Production (mmboe)	-	-	-	-	-
y/y Growth	(12.5%)	3.4%	0.9%	4.3%	4.8%	Proved reserves (mmboe)	-	-	-	-	-
Net debt/(cash)	(5)	14	271	671	1,062	Unit costs per boe					
Cash flow from operating activities	252	232	182	295	349	Lease operating expense	-	-	-	-	-
o/w Depreciation & amortization	212	175	169	224	281	Taxes other than income	-	-	-	-	-
o/w Changes in working capital	(23)	30	(8)	10	12	DD&A	-	-	-	-	-
Cash flow from investing activities	(155)	(150)	(441)	(604)	(642)	G&A	-	-	-	-	-
o/w Capital expenditure	(140)	(186)	(452)	(616)	(654)	Exploration expense	-	-	-	-	-
as % of sales	9.7%	14.7%	36.6%	42.7%	41.8%	Operating margin/boe	-	-	-	-	-
Cash flow from financing activities	(80)	(41)	723	500	500	Cash margin/boe	-	-	-	-	-
o/w Dividends paid	0	0	0	0	0	EBITDAX margin	19.6%	16.4%	16.1%	21.9%	24.4%
o/w Net debt issued/(repaid)	0	0	602	500	500	CFFO ex WC	-	-	-	-	-
Net change in cash	17	41	464	190	206	CFFO ex WC/share	-	-	-	-	-
Adj. Free cash flow to firm	118	52	(262)	(302)	(274)						
y/y Growth	1323.7%	(56.0%)	(604.3%)	15.3%	(9.3%)						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Liberty Energy Inc (LBRT, LBRT US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
20-Oct-23	N	20.93	22
19-Apr-24	N	22.10	25
30-Sep-24	N	18.98	21
18-Oct-24	N	18.30	19
06-Jan-25	N	20.89	18
21-Apr-25	N	12.08	16
28-May-25	N	11.83	13
28-Jul-25	N	13.14	15
10-Dec-25	OW	19.75	24
17-Mar-26	OW	30.02	30
24-Apr-26	OW	32.32	32
24-Jul-26	OW	19.62	27

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 06, 2018. All share prices are as of market close on the previous business day.

ProPetro Holding (PUMP, PUMP US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
02-Nov-23	UW	10.48	11
09-Jan-24	UW	8.24	10
06-Dec-24	N	8.24	10
30-Apr-25	N	5.60	8
28-May-25	N	5.66	7
10-Dec-25	OW	10.97	13
08-Apr-26	OW	14.24	15
01-May-26	OW	17.13	18
07-Jul-26	OW	12.29	17
30-Jul-26	OW	10.21	15

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2017. All share prices are as of market close on the previous business day.

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